

## BRBL Module D — Commercial Laws

### CAIIB BRBL Paper 4

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#### The Master Frame (Read This First)

CONTRACT → SALE → PARTNERSHIP → COMPANY/LLP → PROPERTY → RIGHTS & ACCOUNTABILITY

Module D is the broadest module — eight distinct Acts covering the private law of commerce. The IIBF tests whether you know which Act governs which situation, and which specific rule within that Act applies.

#### IIBF's commercial-law worldview:

|                          |                                                                  |
|--------------------------|------------------------------------------------------------------|
| Indian Contract Act 1872 | → the foundation; every banking deal is a contract               |
| Sale of Goods Act 1930   | → movable property trade; banks finance this constantly          |
| Partnership Act 1932     | → who can sue/be sued; non-registration = legal disability       |
| Companies Act 2013       | → borrower structure; directors' liability; charge creation      |
| LLP Act 2008             | → hybrid structure; separate entity but partners liable          |
| Transfer of Property Act | → mortgages (6 types); banks lend against immovable property     |
| RTI Act 2005             | → citizen's right; bank as public authority; PIO's duty          |
| IT Act 2000              | → electronic records; digital signatures; cyber offences         |
| Prevention of Corruption | → banker's exposure; public servant definition; disproportionate |

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#### Part 1: Indian Contract Act, 1872

##### What Makes a Valid Contract

S.2(e): Agreement = every promise and set of promises forming consideration for each other

S.2(h): Contract = agreement ENFORCEABLE BY LAW

Essentials of a valid contract:

1. Offer + Acceptance (S.2(a), 2(b))
2. Lawful consideration (S.2(d))
3. Capacity to contract (S.11)
4. Free consent (S.14)
5. Lawful object (S.23)
6. Not expressly declared void

S.10: All agreements are contracts if made by free consent of competent parties for lawful consideration with lawful object, and not expressly void

**Exam rule:** Agreements ≠ contracts. Every contract is an agreement but not vice versa. An agreement becomes a contract only when enforceable

at law.

### Capacity to Contract — S.11

Who cannot contract:

- Minors (below 18; 21 if guardian appointed by court)
- Persons of unsound mind
- Persons disqualified by law (insolvent, foreign enemies, convicts)

Minor's agreement:

- VOID AB INITIO - not voidable; absolutely void from the start
- Bank cannot recover money lent to a minor (Mohori Bibee v Dharmadas Ghose)
- No ratification when minor attains majority
- Minor CAN receive benefit (promisee side is valid for minor)

**Exam trap:** Minor's agreement is VOID, not voidable. If a bank lends to a minor, it cannot recover. No ratification after majority.

### Free Consent — S.14

Consent is NOT free if caused by:

- Coercion (S.15): committing or threatening to commit an offence
- Undue influence (S.16): one party dominates the will of the other
- Fraud (S.17): false representation of fact with intent to deceive
- Misrepresentation (S.18): false statement honestly believed to be true
- Mistake (S.20-22): both parties under mistake of fact → void  
mistake of law = generally not excused

Effect of non-free consent:

- Coercion, undue influence, fraud, misrepresentation → VOIDABLE at option of aggrieved party
- Bilateral mistake of fact → VOID

**Elimination rule:** "Can aggrieved party rescind contract induced by fraud?" → YES (voidable). But bilateral mistake of fact = void (no option; automatically void).

### Consideration — S.25

General rule: No consideration → no contract (exception: written + registered gratuitous promise)

S.25 exceptions (agreement without consideration valid):

1. Natural love and affection - written + registered + near relations
2. Past voluntary services - promise to compensate what was already done
3. Statute-barred debt - written promise to pay time-barred debt

Adequacy: Courts do NOT enquire into adequacy of consideration

- 1 = valid consideration for a 1 crore contract

## **Void and Voidable Contracts**

Void: Has no legal effect from the beginning (or becomes void later)

- Agreement by minor, bilateral mistake, unlawful object/consideration
- Agreements in restraint of trade (S.27) - exception: sale of goodwill
- Agreements in restraint of legal proceedings (S.28)
- Wagering agreements (S.30)

Voidable: Valid until the aggrieved party rescinds

- Contracts induced by coercion, undue influence, fraud, misrepresentation

Contingent contracts (S.31-36):

- Conditional on an uncertain future event
- If event becomes impossible → contract becomes void

## **Quasi-Contracts — S.68-72**

Quasi-contract = obligation imposed by law in absence of agreement (to prevent unjust enrichment)

S.68: Claim for necessities supplied to an incompetent person (charged to their property)

S.69: Reimbursement to person paying another's dues (to protect their own interest)

S.70: Obligation of person enjoying non-gratuitous benefit to compensate giver

S.71: Liability of finder of goods (bailee's duties)

S.72: Person receiving money by mistake or coercion must repay

## **Discharge of Contract**

A contract is discharged (ends) by:

1. Performance (S.37-67)
2. Agreement (mutual rescission, alteration, novation, remission)
3. Impossibility (S.56) - subsequent impossibility = void (force majeure)
4. Lapse of time (Limitation Act)
5. Operation of law (death, insolvency, merger)
6. Breach (actual or anticipatory)

S.56 Doctrine of Frustration:

- If performance becomes impossible AFTER contract → contract becomes void
- Examples: destruction of specific subject matter; subsequent illegality

## **Breach and Remedies**

Remedies for breach:

1. Damages (S.73-74) - compensatory; must be proximately caused by breach
2. Specific performance (under Specific Relief Act)
3. Injunction
4. Quantum meruit (payment for work done so far)

S.73: Damages = what naturally arose + what parties knew at time of contract  
(Hadley v Baxendale rule; not remote consequences)

S.74: Stipulated damages (penalty clause):

Court awards REASONABLE compensation - not necessarily stated penalty

(If stated amount is penalty, court grants actual loss; if genuine pre-estimate, upheld)

### **Indemnity and Guarantee**

Indemnity (S.124):

- Contract where one party promises to save the other from LOSS caused by promisor's own conduct OR by third party's conduct
- Indemnifier → Indemnified
- TWO parties

Guarantee (S.126):

- Contract to perform promise or discharge liability of a THIRD PERSON if that person defaults
- THREE parties: Principal Debtor + Creditor + Surety (guarantor)
- Surety's liability = secondary (principal debtor must first default)

Continuing guarantee (S.129): extends to series of transactions

Revocation: Can be revoked for future transactions (S.130)

- Cannot revoke for completed transactions

Rights of Surety:

- Right of subrogation (S.140): step into creditor's shoes after paying
- Right of indemnity from principal debtor (S.145)
- Right to claim securities (S.141): surety entitled to all securities creditor holds EVEN IF surety didn't know about them at time of guarantee

**Exam trap:** If creditor releases any security without surety's consent, surety is discharged to the extent of the security's value (S.141). Bank giving up collateral without guarantor's knowledge = guarantor discharged proportionately.

### **Bailment and Pledge**

Bailment (S.148):

- Delivery of goods for a PURPOSE with condition to RETURN or DISPOSE as directed
- Bailor (delivers) → Bailee (receives)
- MOVABLE goods only; NOT money in general (money in bank = loan, not bailment)

Bailee's duties (S.151-152):

- Take reasonable care of goods (as an ordinary prudent person takes of own goods)
- Not to make unauthorized use

- Return goods + any accretions (income earned)

Finder of Goods (S.168-169):

- Has same duty as bailee
- Can sell if: perishable / owner not found after reasonable effort + cost exceeds 2/3 of

Pledge (S.172):

- Bailment of goods as SECURITY for repayment of debt or performance of promise
- Pawnor (pledges) → Pawnee (holds pledge)
- Pawnee's right: retain until dues paid; sell on default (with reasonable notice)

Pledge by Non-Owners:

- S.178: Mercantile agent with possession can pledge in ordinary course of business
- S.178A: Buyer in possession with seller's consent can pledge
- S.179: Person with limited interest can only pledge to extent of that interest

## Agency

S.182: Agent = person who acts for and on behalf of PRINCIPAL in dealings with third parties

Agency creation:

- Express appointment
- Implied (from conduct, necessity, or holding out)
- Ratification (S.196-200): principal approves unauthorized act RETROSPECTIVELY
  - Ratification = adoption from beginning; puts agent in same position as if authorized
  - Cannot ratify after transaction completed or harm to third party

Sub-Agent vs Substituted Agent:

- Sub-agent: appointed by agent; agent remains liable (S.190)
- Substituted agent: agent names another on principal's behalf; agent not liable (S.194)

Termination of agency (S.201):

- Revocation by principal (not if agency coupled with interest)
- Renunciation by agent
- Death, insanity, insolvency of principal or agent
- Completion of business

Agent's duties:

- Follow instructions; exercise skill/diligence
  - Render accounts; not mix principal's goods with own
  - Not make secret profits
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## **Part 2: Sale of Goods Act, 1930**

### **Sale vs Agreement to Sell**

Sale (S.4):

- Property in goods transfers IMMEDIATELY to buyer
- Buyer bears risk (res perit domino)
- If goods destroyed: buyer's loss even if not delivered
- Seller can sue for price

Agreement to sell (S.4):

- Transfer of property at FUTURE TIME or subject to condition
- Seller bears risk until condition satisfied
- If goods destroyed: seller's loss
- Seller can sue for damages (not price)

S.6: Existing goods vs future goods

- Future goods = to be manufactured/produced/acquired after contract
- Agreement to sell future goods; cannot be a present sale

### **Conditions and Warranties**

Condition (S.12(2)):

- Essential stipulation going to ROOT of contract
- Breach = buyer may treat contract as repudiated (reject goods + claim damages)

Warranty (S.12(3)):

- Collateral stipulation; not essential
- Breach = claim damages ONLY (cannot reject goods)

Implied conditions (S.14-17):

- S.14: Right to sell (seller has title)
- S.15: Sale by description - goods must correspond to description
- S.16: Sale by sample - bulk must correspond to sample
- S.16(1): Fitness for purpose (if buyer makes purpose known and relies on seller)
- S.16(2): Merchantable quality (if bought by description from dealer)

Implied warranty:

- Quiet possession (buyer shall not be disturbed)
- Freedom from encumbrances

### **Transfer of Property in Goods**

Specific goods: property passes when parties INTEND it to pass (S.19)

- Unascertained goods: property passes when goods are ASCERTAINED and unconditionally appropriated to contract (S.23)

Risk follows property (S.26): unless otherwise agreed

Nemo dat quod non habet - seller cannot give better title than he has

Exceptions (S.27-30):

- Sale by mercantile agent (S.27)
- Sale by seller in possession after sale (S.30(1))
- Sale by buyer in possession before property passes (S.30(2))
- Estoppel (owner's conduct)

### **Rights of Unpaid Seller — S.45**

Unpaid seller = seller who has not received full price OR received dishonoured cheque

Rights against GOODS:

1. Lien (S.47): Right to retain goods until payment (while in possession)
  - Lost if: buyer gets possession / seller waives it / goods delivered to carrier without right of stoppage reserved
2. Stoppage in transit (S.50): Right to stop goods while in transit if buyer insolvent
  - Transit ends when: buyer takes delivery OR carrier wrongfully refuses delivery
3. Resale (S.54): Right to resell if goods perishable OR notice given of intent to resell
  - Surplus from resale = seller keeps; deficiency = buyer pays

Rights against BUYER (personally):

- Sue for price (if property has passed)
- Sue for damages (if property not passed)
- Sue for interest

**Exam elimination:** "Seller stops goods mid-journey when buyer becomes insolvent" → Stoppage in transit. "Seller retains goods unpaid" → Lien. "Seller resells after notice" → Right of resale.

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## **Part 3: Partnership Act, 1932**

### **Definition and Formation**

S.4: Partnership = relation between persons who have agreed to share profits of a business carried on by ALL or ANY OF THEM ACTING FOR ALL

Essential elements:

1. Agreement (express or implied)
2. Business (not just sharing property income)
3. Sharing of profits (necessary; sharing losses is optional)
4. Mutual agency - each partner is agent for all others (crucial test)

Maximum partners:

- Banking business: 10 partners (pre-Companies Act 2013; now generally 50)
- Other business: 20 (earlier); Companies Act 2013 → 50 for any firm

Firm name: Carries on business under a name (firm name)

### **Types of Partners**

Active/Actual partner: takes active part in business; fully liable

Sleeping/Dormant partner: invests capital; doesn't participate; BUT still liable to outsiders

Nominal partner: lends name only; NO share in profits; but liable to outsiders who knew

Partner by estoppel/holding out (S.28): not a partner but allowed to be believed as one → liable to third parties who lent on that belief

Minor partner (S.30):

- Can be admitted to BENEFITS of partnership (not to be a full partner)
- Not personally liable; liability limited to share in firm
- On attaining majority: must elect within 6 months whether to become partner or leave
- If no election = deemed to have become partner from the date of majority

### **Partner's Rights and Duties**

Rights (S.12-17):

- Take part in management
- Access to books
- Share profits equally (unless otherwise agreed)
- Interest on capital: 6% p.a. (if agreed)
- Interest on advances (beyond agreed capital): 6% p.a.
- Indemnification for act done in ordinary course of business

Duties (S.9, 10):

- Carry on business for greatest common advantage
- Be just and faithful
- Render true accounts
- Not to carry competing business without consent
- Not to use firm name/property for personal gain

### **Partnership and Third Parties**

S.18: Partner = agent of the firm and other partners for acts in ordinary business

S.19: Implied authority (what partner can do without specific authority):

- Borrow money; give receipts; engage employees; buy/sell goods; etc.

What partner CANNOT do without express authority:

- Submit to arbitration
- Open bank account in own name
- Compromise/release claim
- Acquire immovable property

- Enter into partnership with outsider

#### Liability:

- S.25: Partners jointly liable for ALL acts of firm done while partner
- S.27: Holding out → liable to those who extended credit on that belief
- S.32: Retiring partner: continues liable for acts before retirement
  - Notice of retirement must be given to third parties to escape future liability

#### Effect of Non-Registration — S.69

CRITICAL - Most-tested provision of Partnership Act

#### Effect of non-registration:

1. Firm CANNOT sue outsiders (partners/firm cannot file suit)
2. Partner cannot sue other partners for rights from partnership
3. Firm cannot claim set-off > 100 against a defendant in court

#### What non-registration does NOT affect:

- Third parties CAN sue the firm (outsiders' rights unaffected)
- Criminal proceedings
- Dissolution suits
- Right to claim set-off up to 100
- Suits under Acts other than Partnership Act

**Exam trap:** Non-registration hurts THE FIRM (cannot sue). Third parties are NOT affected — they can still sue the firm. Registration is a sword for the firm, not a shield against outsiders.

#### Dissolution

##### Dissolution by court (S.44) - grounds:

- Partner becomes insane
- Persistent breach of partnership agreement
- Business can only be carried on at a loss
- Just and equitable (court's discretion)
- Partner's misconduct affecting business
- Partner's interest charged by court for personal debt

##### On dissolution:

- All partners bound to wind up affairs
- Goodwill sold; losses borne according to agreement
- Settlement order (S.48): firm's losses paid first by profits → capital → partners personal

## Part 4: Companies Act, 2013

### Company — Definition and Features

S.2(20): Company = company incorporated under Companies Act or previous Act

Features of a company:

1. Separate legal entity (Salomon v Salomon - company its members)
2. Limited liability (members' liability limited to share value / guarantee amount)
3. Perpetual succession (death/insolvency of members doesn't dissolve company)
4. Common seal (now optional after 2015 amendment)
5. Transferability of shares (freely transferable in public company)
6. Capacity to sue and be sued in own name

### Types of Companies

By liability:

- Limited by shares: liability = unpaid amount on shares
- Limited by guarantee: liability = amount each member agrees to contribute
- Unlimited: members' personal liability for company debts

By membership:

- Private company: min 2, max 200 members; cannot invite public to subscribe shares
- Public company: min 7 members; no max; can list on stock exchange
- One Person Company (OPC): single member; only Indian resident; nominee required

By control:

- Holding company: controls composition of Board of another (subsidiary)
- Subsidiary company: whose board is controlled by holding company
- Associate company: where holding company has 20%+ voting power
- Government company: 51%+ paid-up share capital held by Central/State Govt

### MOA and AOA

Memorandum of Association (MOA):

- Constitution of company; defines scope of operations
- 6 clauses: Name / Registered Office / Objects / Liability / Capital / Subscription
- Objects clause: company cannot act beyond its objects (ultra vires)

Articles of Association (AOA):

- Internal regulations; rules for management
- Can be altered by special resolution (S.14)
- Subject to MOA (MOA overrides AOA)

Doctrine of Ultra Vires:

- Act beyond MOA objects = VOID; cannot be ratified even by unanimous shareholders
- Protects shareholders and creditors (cannot use company funds for unauthorized purposes)

Doctrine of Indoor Management (Turquand's Rule):

- Outsiders dealing with company in good faith need NOT inquire into internal irregularities
- If MOA/AOA authorizes act, outsider may assume internal procedure was followed
- Exception: actual notice of irregularity / forgery / outsider is an insider

**Exam pair:** Ultra vires = company cannot cross MOA boundary. Indoor management = outsider need not check if internal steps were followed (assumes they were).

## Membership

Who is a member (S.2(55)):

- Subscriber to MOA (deemed member from incorporation)
- Person who agrees to become member + name entered in register

Minimum: Private = 2; Public = 7; OPC = 1

Maximum: Private = 200; Public = no limit

Cessation: transfer, death, insolvency, forfeiture, surrender of shares

Register of Members (S.88): company must maintain; prima facie evidence

## Share Capital and Prospectus

Share capital:

- Authorised capital (nominal): maximum permissible
- Issued capital: portion offered to public
- Subscribed capital: portion taken up by public
- Paid-up capital: amount actually paid on subscribed shares

Prospectus (S.2(70)):

- Document inviting offers from public to subscribe to securities
- Must be registered with SEBI/ROC before issue
- Contains: financial data, objects of issue, risk factors, promoters' history

Misstatement in prospectus:

- Civil liability (S.35): compensation to allottees
- Criminal liability (S.34): imprisonment up to 10 years + fine
- Director/promoter/expert who signed = liable (unless due diligence defence)

## Directors

S.2(34): Director = person occupying position of director (by whatever name)

Key requirements:

- Minimum: Private = 2; Public = 3; OPC = 1

- Maximum (S.149): 15 directors (can increase by special resolution)
- Independent directors: listed companies must have 1/3 independent directors
- Whole-time director / MD / Part-time director

#### Duties (S.166):

- Act in good faith for benefit of company AND stakeholders
- Exercise independent judgment
- Avoid conflict of interest
- Not assign office to another

#### Disqualifications (S.164):

- Unsound mind (declared by court)
- Undischarged insolvent
- Applied for insolvency + adjudicated
- Convicted and sentenced 6 months (5-year bar)
- Director of company that failed to file financial statements/returns for 3 consecutive years

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## Part 5: Limited Liability Partnership Act, 2008

### LLP — Structure and Features

LLP = hybrid between company and partnership

- Separate legal entity (like a company)
- Partners' liability LIMITED to their agreed contribution (unlike traditional partnership)
- Perpetual succession
- BUT: Income taxed like a partnership firm (pass-through taxation)

Key differences from Company:

- No share capital; partners have "contribution"
- No Board of Directors; managed by "designated partners"
- No concept of MOA/AOA; governed by LLP Agreement
- Less compliance burden (no AGM, no minimum capital)

Minimum: 2 partners; no maximum

Designated partners: min 2; at least one must be Indian resident

Incorporation: Certificate of Incorporation from Registrar of Companies

Liability:

- LLP liable for own acts to full extent
- Partner NOT liable for another partner's wrongful act (unlike traditional partnership)
- Partner IS liable for their own wrongful/unauthorised acts

**Exam heuristic:** "Separate entity + limited liability + partnership taxation"

→ LLP. Partners cannot be sued for each other's wrongs (unlike general partnership where ALL partners jointly liable).

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## Part 6: Transfer of Property Act, 1882

### Immovable Property — Key Concepts

S.3: Immovable property = land + benefits arising out of land + things attached to earth  
(does NOT include standing timber, growing crops, grass)

Transfer of property = act by which person conveys property to one or more other persons

Transfer inter vivos = transfer between living persons (not by will)

Requirements for valid transfer:

- Competent transferor (S.7): owner with title and competent to contract
- Lawful object and consideration
- Form: registered instrument for most immovable property transfers (> 100)

### Six Types of Mortgage — S.58

#### 1. Simple Mortgage (S.58(b)):

- No possession to mortgagee; personal liability of mortgagor
- If default: mortgagee can seek court decree to SELL property (not direct sale)
- MUST be by registered instrument (regardless of amount)

#### 2. Mortgage by Conditional Sale (S.58(c)):

- "Ostensible sale" with condition: if default → sale absolute; if paid → buyer retransfers
- No possession transferred
- MUST be registered

#### 3. Usufructuary Mortgage (S.58(d)):

- Possession delivered to mortgagee; mortgagee receives RENTS & PROFITS
- No personal liability; no power of sale
- Mortgagee holds until rents repay the loan

#### 4. English Mortgage (S.58(e)):

- Mortgagor transfers property absolutely to mortgagee + personal covenant to repay
- On repayment: mortgagee retransfers
- Mortgagee CAN sell without court decree (has legal title)

#### 5. Mortgage by Deposit of Title Deeds (Equitable Mortgage) (S.58(f)):

- Deposit of title documents in notified towns (Mumbai, Kolkata, Chennai + RBI notified)
- No registration required (most used in banking practice)
- Mortgagor retains possession; no personal liability unless agreed

#### 6. Anomalous Mortgage (S.58(g)):

- Any mortgage NOT falling under above five categories

→ Hybrid or customary mortgage

**Exam elimination table:** “No registration needed for bank’s mortgage”  
→ Equitable mortgage (deposit of title deeds). “Mortgagee in possession collecting rents” → Usufructuary mortgage. “Mortgagee can sell without court” → English mortgage. “Court order needed to sell” → Simple mortgage.

### **Charge vs Mortgage**

Mortgage (S.58): creates interest in specific immovable property to secure payment

Charge (S.100): not a mortgage; transfers no interest; only gives right to payment out of specified immovable property

- Charge created by operation of law (not by act of parties) = equitable
- Charge created by act of parties requires registration

### **Lease — S.105**

Lease = transfer of right to ENJOY immovable property for a time, in consideration of rent or premium

- Lessor (transfers enjoyment) → Lessee (receives)
- Lease sale (no ownership transfer); license (license gives personal right only)

Duration:

- Lease from year to year, or for > 1 year → MUST be by registered instrument
- Month-to-month lease → oral or written

Rights of lessee:

- Quiet enjoyment
- Disclaim if property destroyed through no fault
- Recover improvements cost at determination

Rights of lessor:

- Recover rent
- Forfeiture on breach (after notice to remedy)

### **Actionable Claim — S.3**

Actionable claim = claim to any debt (except secured debt) OR beneficial interest in movable property not in possession

- Can be transferred by assignment (written, signed, notice to debtor)
- Examples: FD receipts, book debts, insurance claims

Transfer of actionable claim:

- Assignee takes subject to all equities - gets no better rights than assignor

## **Part 7: Right to Information Act, 2005**

### **Framework**

RTI Act in force: October 12, 2005

Purpose: Promote transparency in public authorities; citizen's right to information

Public authority (S.2(h)):

- Established by Constitution / law / Government notification
- Bodies substantially financed by government funds
- PSBs (Public Sector Banks) = PUBLIC AUTHORITY under RTI
- Private banks = generally NOT covered (unless substantially govt-financed)

### **Key Officials and Timelines**

PIO (Public Information Officer) (S.5):

- Every public authority must designate PIO
- Receives and processes RTI applications
- Must provide information within 30 DAYS (standard)
- 48 HOURS if life or liberty of person is involved

APIO (Assistant PIO): receives applications; must transfer to PIO within 5 days

First Appellate Authority (S.19(1)):

- Appeal against PIO's decision/no response
- Must file within 30 days of PIO's response (or 30 days from expiry of time limit)
- Dispose within 30 days (extendable to 45 days for reasons in writing)

Central/State Information Commission (S.18, S.19(3)):

- Second appeal within 90 days of first appellate authority's decision
- Final authority; can impose penalties

### **Exemptions — S.8**

Information NOT to be disclosed:

- Affects sovereignty/integrity/security of India
- Received in confidence from foreign government
- Harms competitive position of third party (trade secrets)
- Cabinet papers (deliberative process)
- Relates to personal information, no public interest
- Information held in fiduciary capacity (EXCEPT for public interest)
- Relates to ongoing investigation by police/CBI etc.
- Would endanger life or safety of any person

S.8(2): Public interest override - even exempt info must be disclosed if public interest in disclosure outweighs harm

### Penalties and Fees

Application fee: 10 (Central govt); varies by state

Fee for information: 2 per page; first 100 pages free for BPL applicants

Penalty on PIO (S.20):

- 250 per day of default (max 25,000) - CIC/SIC imposes
- Disciplinary action recommended by CIC/SIC to the competent authority

No fee if information not provided within time limit (S.7(6))

**Exam trap:** PSBs = public authorities under RTI. PIO has 30 days normally, 48 hours if life/liberty at stake. Second appeal = 90 days to Information Commission.

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## Part 8: Information Technology Act, 2000

### Framework

IT Act enacted: June 9, 2000 (amended significantly in 2008)

Purpose: Legal recognition of electronic records and digital signatures;  
regulate cybercrimes and intermediary liability

Governing body: Ministry of Electronics and Information Technology (MeitY)

S.4: Legal recognition of electronic records - equivalent to paper records

S.5: Legal recognition of digital signatures - equivalent to hand-written signatures

### Key Definitions

S.2(1)(t): Electronic record = data generated / received / sent in electronic form

S.2(1)(p): Digital signature = authentication by subscriber's private key

S.2(1)(ta): Electronic signature = broader; includes Aadhaar OTP-based authentication

Controller of Certifying Authorities (CCA) (S.17):

- Appointed by Central Government
- Licenses Certifying Authorities (CAs) to issue digital signature certificates

Certifying Authority (S.2(1)(e)):

- Issues Digital Signature Certificates (DSC)
- Must maintain security standards specified by CCA

### Cyber Offences and Penalties

S.43: Penalty for damage to computer / computer system (civil; no criminal intent)

- Unauthorized access, downloading, introducing virus, denial of service

- Compensation up to 1 crore (now removed; adjudicating officer determines)
  - Civil remedy; adjudicating officer appointed under IT Act
- S.65: Tampering with computer source documents
- Imprisonment up to 3 years OR fine up to 2 lakh OR both
- S.66: Computer-related offences (dishonestly / fraudulently doing acts under S.43)
- Imprisonment up to 3 years OR fine up to 5 lakh OR both
- S.66A: (STRUCK DOWN by Supreme Court in *Shreya Singhal v Union of India*, 2015)  
Was: Punishment for offensive messages sent electronically
- S.66B: Receiving stolen computer resources → 3 years OR 1 lakh
- S.66C: Identity theft (using another's electronic signature, password, ID)
- Imprisonment up to 3 years + fine up to 1 lakh
- S.66D: Cheating by impersonation using computer → 3 years + 1 lakh
- S.67: Publishing obscene material in electronic form
- First offence: 3 years + 5 lakh; Subsequent: 5 years + 10 lakh
- S.67A: Publishing sexually explicit material (non-child)
- 5 years + 10 lakh; subsequent: 7 years + 10 lakh
- S.67B: Child pornography → 5 years + 10 lakh; subsequent: 7 years

### **Safe Harbour for Intermediaries — S.79**

- Intermediary = ISP, telecom, search engine, online marketplace, social media
- NOT liable for third-party content IF:
    1. Does not initiate the transmission
    2. Does not select receiver or modify content
    3. Follows due diligence and IT (Intermediary Guidelines) Rules

Once notified of illegal content: must take down within 36 hours  
Failure to comply = loses safe harbour; can be held liable

### **Adjudication and Appeals**

- Adjudicating Officer (S.46):
- Appointed by Central Government (not below IT Secretary rank)
  - Handles claims up to 5 crore
- Cyber Appellate Tribunal (CAT) / TDSAT (Telecom Disputes Settlement):
- Appeal against Adjudicating Officer's order

- Chaired by High Court judge (retired)
- Appeal within 45 days of order

Cyber Crimes Investigation: Cyber Crime Cells; CERT-In (Indian Computer Emergency Response Team)  
CERT-In: Notified under S.70B; coordinates response to cybersecurity threats

**Exam heuristic:** S.43 (civil/compensation) → S.66 (criminal version of S.43). Identity theft = S.66C. Impersonation via computer = S.66D. Section numbers increase with severity.

## Part 9: Prevention of Corruption Act, 1988

### Framework and Public Servant Definition

PC Act 1988 (replaced PC Act 1947)

Amended significantly in 2018 (Prevention of Corruption Amendment Act, 2018)

Public servant (S.2(c)):

- Government employees (all categories)
- Bank employees (nationalized / private / cooperative) = PUBLIC SERVANTS under PC Act
- Judges / arbitrators / liquidators / others in discharge of public duty
- Every person in service or pay of Government

**Exam trap:** Bank employees (including private bank employees) are public servants under PC Act. A banker who accepts a bribe can be prosecuted under PC Act.

### Key Offences

S.7: Acceptance of gratification other than legal remuneration

- Public servant accepting bribe / undue advantage for official act
- Punishment: 3 to 7 years + fine

S.7A (2018 amendment): Giving bribe / abetting an offence of bribery

- Person who gives a bribe also liable: 3 to 7 years + fine
- Exception: person who was compelled to give bribe and reports within 7 days

S.8: Taking gratification to influence public servant

- 3 to 7 years + fine

S.9: Gratification for exercise of personal influence

- 3 to 7 years + fine

S.10: Abetment by public servant

- Same punishment as principal offender

- S.11: Obtaining valuables without adequate consideration  
→ Public servant obtaining for self / any person from anyone over whom they have influence  
→ 6 months to 5 years + fine
- S.12: Abetment (by any person)  
→ Same as offence abetted
- S.13: Criminal Misconduct by public servant  
→ 4 to 10 years + fine
- S.13(1)(b): Disproportionate assets (DA) - signature offence for bankers  
→ Possessing assets disproportionate to known sources of income  
→ Proof of disproportionate assets = presumption of corruption  
→ Burden shifts to ACCUSED to explain
- S.14: Habitual commission of PC Act offences → enhanced punishment
- S.15: Attempt to commit offences → half the maximum punishment

### **Investigation and Prosecution**

- S.17: Investigation:  
→ Offences must be investigated by officer of rank of Inspector of Police or above  
→ Central Govt employees: Central Vigilance Commission oversight; CBI investigates  
→ State Govt employees: State Anti-Corruption Bureau
- S.17A (2018 amendment): PRIOR SANCTION required from competent authority  
→ Before any investigation (not just prosecution) of current/former public servant  
→ For acts done in discharge of official duty  
→ Sanction must be given within 3 months (extendable by 1 month for reasons)  
→ Protects public servants from frivolous investigation
- S.18: Bankers' Books:  
→ In PC Act cases, provisions of Bankers Books Evidence Act apply  
→ Certified copies of bank accounts admissible as evidence  
→ Bank need not produce original books (same as Bankers Books Evidence Act principle)
- S.19: Sanction for prosecution of public servant (by appropriate government)  
→ Previous sanction = mandatory before trial (except where caught red-handed)

### **Attachment and Forfeiture**

- On conviction under PC Act:  
→ Assets disproportionate to known income = liable to be forfeited to government  
→ Court can attach assets during trial (under PMLA provisions also available)  
→ S.5 PC Act: Penalty of fine up to 3× the amount of gratification

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## Master Meta-Heuristic: Module D

Q: Minor's agreement for a loan - what can bank recover?

→ NOTHING. Minor's agreement is void ab initio. Bank cannot even claim in quasi-contract (Mohori Bibee principle - no restitution if bank knew of minority).

Q: Difference between guarantee and indemnity?

→ Guarantee = 3 parties; surety's liability is secondary; triggered by principal debtor's default  
Indemnity = 2 parties; indemnifier's liability is primary.

Q: Bank releases security without informing guarantor - effect?

→ Guarantor discharged to extent of security value (S.141 Contract Act).

Q: Surety's right after paying the creditor?

→ Subrogation (S.140): steps into creditor's shoes; can sue principal debtor.  
Also: indemnity from principal debtor (S.145).

Q: Unregistered firm - can it sue a third party?

→ NO. Cannot sue outsiders (S.69 Partnership Act). Outsiders can sue the firm.

Q: Which type of mortgage requires no registration in India?

→ Equitable mortgage (deposit of title deeds) - S.58(f). Most common in banking.

Q: Which mortgage gives mortgagee possession + rents?

→ Usufructuary mortgage - S.58(d). Mortgagee holds until rents repay the debt.

Q: Which mortgage allows sale without court order?

→ English mortgage - S.58(e). Mortgagee has full legal title; can sell on default.

Q: "Account Payee" cheque - what if bank credits wrong account?

→ Bank liable for conversion; collecting bank must credit only named payee's account.

Q: PSB employee accepts a bribe - which Act?

→ Prevention of Corruption Act 1988. Bank employees = public servants under S.2(c).

Q: Disproportionate assets - burden of proof under PC Act?

→ On ACCUSED (S.13(1)(b)). Once prosecution proves DA = presumption of corruption.  
Accused must prove known sources of income explain the assets.

Q: RTI - time limit for PIO to respond?

→ 30 days (standard); 48 hours if life/liberty of person involved.

Q: RTI penalty on PIO for default?

→ 250 per day (max 25,000) - imposed by CIC/SIC.

Q: IT Act - identity theft section?

→ S.66C - imprisonment up to 3 years + fine up to 1 lakh.

Q: LLP - partner A's wrongful act - can partner B be sued?

→ NO. In LLP, partners are not liable for each other's unauthorized acts.  
(Unlike traditional partnership where all partners jointly liable.)

Q: Conditions vs Warranties under Sale of Goods?

→ Condition breach = buyer can repudiate + damages.

Warranty breach = damages only; cannot reject goods.

Q: OPC - minimum requirements?

→ One Person Company: 1 member (Indian resident), 1 director, nominee required.

Max 1 member; cannot invite public subscription; cannot convert to Section 8 co.

Q: Prospectus misstatement - criminal liability?

→ S.34 Companies Act: imprisonment up to 10 years + fine (director/promoter/signatory).

Q: IT Act - S.66A status?

→ STRUCK DOWN by Supreme Court (Shreya Singhal, 2015). No longer in force.

Do NOT apply S.66A in answers.

Q: CERT-In role?

→ Indian Computer Emergency Response Team; coordinates cybersecurity response;  
notified under S.70B IT Act.

### **The IIBF Commercial-Laws Worldview**

Indian Contract Act = the bedrock; every banking instrument is a contract

→ Know when consent is free; know when liability is primary vs secondary

Sale of Goods = trade financing context; conditions protect buyers; warranties compensate

→ Unpaid seller's lien → stoppage in transit → resale: sequential escalation of remedy

Partnership = banks lend to firms; non-registration = disability for the FIRM

→ Third parties always protected; registration = weapon for partners, not a shield

Companies = most bank borrowers; ultra vires = void; indoor management = outsiders protected

→ Director disqualification matters (bank assessing board integrity)

LLP = modern business vehicle; separate entity + limited liability + flexible management

→ Fewer compliances than company; still accountable through designated partners

Transfer of Property = mortgages are banks' primary security

→ Six mortgage types serve different commercial needs; equitable mortgage = most practical

→ Bank's lender's perspective: can I enforce without going to court?

RTI = PSBs are accountable to citizens; PIO's duty is real; penalties are real

→ Non-compliance = institutional embarrassment + 25,000 personal penalty

IT Act = electronic records are valid; cybercrime is prosecutable; safe harbour is conditional

→ Section 66 series = memorise severity by letter (B < C < D for property < identity < imputation)

Prevention of Corruption = bank employees are public servants; bribery is not victimless

→ 2018 amendment: giving a bribe is ALSO an offence; S.17A prior sanction before investigation

→ Disproportionate assets = presumption of guilt; burden shifts to accused

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*CAIIB BRBL — Module D | Paper 4*